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23-CIV-01026 MAVERICKS BUILDERS, ET AL. VS. RYAN ATKINS, ET AL.

LINE 2

MAVERICKS BUILDERS
RYAN ATKINS

J. MICHAEL MATTHEWS
CATHERINE S. ROBERTSON

CROSS-DEFENDANT/CROSS-COMPLAINANT: HUDSON INSURANCE COMPANY'S MOTION TO DEPOSIT FUNDS BY STAKEHOLDER; FOR DISCHARGE OF STAKEHOLDER; REQUEST FOR ATTORNEY'S FEES PURSUANT TO CCP SECTION 386.6

TENTATIVE RULING:

This is case for breach of contract and related claims arising from a dispute between a contractor, Mavericks Builders ("Mavericks"), and property owners Ryan Atkins and Meghan Condra (collectively, "Defendants").

Defendants filed an Amended Cross-Complaint on June 23, 2023, naming Hudson Insurance Company – the surety on the contractor's license bond issued on behalf of Mavericks – as a Cross-Defendant, along with Mavericks. In response, on July 27, 2023, Hudson filed a Cross-Complaint of its own for declaratory relief, seeking a declaration from this Court as to the respective rights and obligations of the parties in this action – naming Mavericks, Defendants, and Robin Nielsen (the purported owner of Mavericks) as Cross-Defendants. On March 25, 2025, Hudson amended its Cross-Complaint to substitute Cross-Defendant Matthew Emery in place of fictitiously named "MOE 1."

Hudson now moves to deposit funds as a disinterested stakeholder, to be discharged from this action, and for attorney's fees pursuant to Code Civ. Proc. § 386.6.

Hudson's motion to deposit funds is GRANTED.

Hudson's motion to be discharged from this action is GRANTED, **with the limitation that Hudson's release from this action does not release it from commensurate liability for statutory fee awards awarded against its principal, Mavericks, for attorney's fees and costs incurred prior to Hudson's release.**

Hudson's request for attorney's fees is DENIED for failure to provide sufficient support for the requested fees and failure to limit the fees requested to those allowed on fee motion related to interpleader relief (i.e. bringing this motion).

DISCUSSION

Interpleader is a procedure whereby a person holding money or property to which conflicting claims are being made by others, can join the adverse claimants and force them to litigate their claims among themselves.

(*Hancock Oil Co. of Calif. v. Hopkins* (1944) 24 Cal.2d 497, 508; *City of Morgan Hill v. Brown* (1999) 71 Cal.App.4th 1114, 1122.)

If the stakeholder has already been sued by one or more of the adverse claimants, and wishes to interplead the other claimants, the defendant-stakeholder may file a verified cross-complaint joining the other adverse claimants, with allegations similar to the complaint in intervention. (Code Civ. Proc., § 386, subd. (b).)

Alternatively, if the defendant-stakeholder claims no interest in the funds or property held, an interpleader cross-complaint need not be filed. The defendant-stakeholder may simply apply to the court for permission to deposit the money or property with the court clerk, and for an order discharging that person from further liability to the adverse claimants:

Where the only relief sought against one of the defendants is the payment of a stated amount of money alleged to be wrongfully withheld, such defendant may, upon affidavit that he is a mere stakeholder with no interest in the amount or any portion thereof and that conflicting demands have been made upon him for the amount by parties to the action, upon notice to such parties, apply to the court for an order discharging him from liability and dismissing him from the action on his depositing with the clerk of the court the amount in dispute and the court may, in its discretion, make such order.

(Code Civ. Proc., 386.5.)

Here, Hudson filed a Cross-Complaint on July 27, 2023. However, the Cross-Complaint did not state a cause of action, expressly or effectively, for interpleader. Hudson's Cross-Complaint does not admit that the funds are due and does not disclaim any interest in them, with uncertainty only as to which competing complaints should be paid. Rather, Hudson alleges that it lacks sufficient information to complete its investigation and determine if liability exists, and that it is "ready, willing, and able to fulfill its obligations under the bond *to the extent that this court declares that Cross-Defendant, Mavericks Builders's claim against Hudson's bond is valid and that Hudson is obligated to perform by way of payment based up on the current claim.*" (Hudson Cross-Complaint, ¶¶ 11-14 [emphasis added].)

However, a stakeholder named as a defendant may later move for interpleader relief, supported by an affidavit. Here, Hudson's declaration in support of this motion now states that it is a mere stakeholder with no interest in the penal sum of the contractor's license bond at issue, that conflicting demands to those sum have been made by multiple parties, and that it is unable to determine the merits of those claims and seeks to deposit the funds with the Court for judicial determination of the parties' rights and obligations. (Cameron Decl., ¶¶ 2-7.) Hudson's supporting declaration satisfies the requirements for interpleader relief.

Hudson's Liability for Costs and Fees Is Not Limited to the Penal Sum of the Bond

Under Civil Code section 2808, where a surety assumes liability upon a conditional obligation, the surety's liability is commensurate with that of its principal.

However, a surety's liability under a contractor's license bond is established by statute, and no burden may be imposed on the surety *other than those specifically set forth by statute.* (*All Bay Mill & Lumber Co. v. Sur. Co.* (1989) 208 Cal.App.3d 11, 15 [emphasis added].) The parties do not dispute that the penal sum of the bond for acts or omissions of the bond principal occurring prior to January 1, 2023, is limited the maximum sum of \$15,000.00. (See Bus. & Prof. Code, §§ 7071.5, 7071.6, subd.(b).)

Defendants argue that Hudson's commensurate liability for attorney's fees and costs associated with this litigation is not capped by the penal sum of the bond. Specifically, Defendants argue that Hudson bears

commensurate liability for \$67,289.97 in fees and costs awarded by this Court to Defendants against Hudson's principal, Mavericks. (See Order Awarding Attorneys' Fees and Costs, filed 08/05/2024, at p. 3.) Defendants further argue that commensurate liability would apply to later awards that may be ordered for costs and fees incurred prior to any order discharging Hudson from this action. In support, Defendants cite *Karton v. Ari Design & Construction, Inc.* (2021) 61 Cal.App.5th 734, 753 [commensurate liability of the surety for attorneys' fees as a cost item is "not limited by the amount of its bond"] and *Pierce v. Western Surety Co.* (2012) 207 Cal. App. 4th 83, 92 [holding that a surety's "obligation to pay costs" including attorneys' fees "is based on its status as a litigant"].

The Court agrees with Defendants. In *Karton*, the Court held that the surety was liable for an award of reasonable attorney's fees ordered against its principal – and cited *Pierce* in support of that holding:

The *Pierce* decision mandates victory for the Kartons against Wesco [the opposing party's surety], as follows. A prevailing party is entitled to costs incurred in pursuing the claim. (Code Civ. Proc., § 1032, subd. (b).) When authorized by statute, attorney fees are allowable as costs. (Code Civ. Proc., § 1033.5, subd. (a)(10).) Under Civil Code section 2808, a surety's liability is commensurate with that of the principal within the express terms of the bond and of pertinent statutes. If the principal would have been liable for attorney fees based on conduct secured by the bond, the surety also is liable for the attorney fees as a cost item. (*Pierce, supra*, 207 Cal.App.4th at pp. 92–93, 143 Cal.Rptr.3d 152.)

Wesco was a surety, as it readily agrees. Wesco's liability therefore is commensurate with that of its principal Ari. By operation of section 1029.8 of the Code of Civil Procedure, Ari is liable to the Kartons for reasonable attorney fees of \$90,000, as we have described. Under *Pierce*, then, so too is Wesco liable to the Kartons for reasonable attorney fees of \$90,000 as a cost item.

(*Karton*, 61 Cal.App.5th at 752.)

The *Karton* Court explicitly rejected the argument that liability for the statutory attorney's fees incurred during litigation could not exceed the bond amount. (*Id.* at 752-53.) The Court explained:

[T]o avoid the costs and risks of litigation, Wesco could have negotiated settlement of its own liability or used interpleader procedures to deposit the amount of its bond in court. (*Harris [v. Northwestern National Ins. Co.]* 6 Cal.App.4th [1061] 1066, 8 Cal.Rptr.2d 234.) Instead, Wesco elected to gamble that it and Ari could avoid liability altogether on the merits. "Having lost that gamble, [Wesco] is not in a position to complain about liability for court costs" (*Ibid.*)

(*Id.* at 753.)

Here, Hudson filed a cross-complaint in this action on July 27, 2023 – (two years after *Karton* was decided and) nearly two and one-half years before filing the instant interpleader motion on January 8, 2026. As discussed above, Hudson's cross-complaint did not expressly, or effectively, plead a cause of action for interpleader. Instead, it only sought declaratory relief, stating that it is "ready, willing, and able to fulfill its obligations under the bond to the extent that this court declares that Cross-Defendant, Mavericks Builders's claim against Hudson's bond is valid and that Hudson is obligated to perform by way of payment based up on the current claim." (Hudson Cross-Complaint, ¶ 14 [emphasis added].)

Like *Karton* and *Harris*, Hudson failed to use interpleader (although it does so now) and, instead, pursued an opportunity to litigate. In doing so, Hudson opened itself up to the risk of incurring liability for court costs.

Accordingly, while the Court grants Hudson's motion for discharge from this action, it does so with the express limitation that Hudson's release from this action does not release it from commensurate liability for attorney's fees and costs awarded against its principal, Mavericks, for fees and costs incurred in this litigation prior to Hudson's discharge.

Hudson Fails to Sufficiently Support Its Request for Attorney's Fees and Costs, Which Are Limited to Fees and Costs Related to Pursuing Interpleader Relief

Under Code Civ. Proc. § 386.6(a), a party seeking interpleader relief may recover attorney's fees and costs associated with that effort:

A party to an action who follows the procedure set forth in Section 386 or 386.5 may insert in his motion, petition, complaint, or cross complaint a request for allowance of his costs and reasonable attorney fees incurred in such action. In ordering the discharge of such party, the court may, in its discretion, award such party his costs and reasonable attorney fees from the amount in dispute which has been deposited with the court. At the time of final judgment in the action the court may make such further provision for assumption of such costs and attorney fees by one or more of the adverse claimants as may appear proper.

In *Sweeny v. McClaran* (1976) 58 Cal.App.3d 824, 827, 831 a surety on a contractor's license bond was sued for fringe payments allegedly owed by the contractor and, in response, filed a cross-complaint seeking declaratory relief and indemnification. The surety later amended its cross-complaint to add an interpleader cause of action. (*Ibid.*) The trial court discharged the surety and awarded costs and attorney's fees from the deposited sum. (*Id.*, at p. 827.) On appeal, the Court upheld the discharge but reversed the fee award, holding that trial court improperly awarded fees incurred for work performed on all four causes of action in the cross-complaint, including the declaratory relief claim, rather than limiting the award to fees incurred in pursuit of interpleader relief. (*Id.*, at p. 831.)

Here, Hudson asserts that it "has incurred attorney's fees and costs in investigating the claims asserted, communicating with the cross-defendants, protecting the penal sum of the Bond, and pursuing declaratory and interpleader relief." (Cameron Decl., ¶ 6.) Hudson further states that the "total amount of attorney's fees to date is \$7,638.47," although Hudson only requests \$3,000. (*Id.*)

Like *Sweeny*, it appears Hudson may be seeking attorney's fees and costs beyond those incurred in pursuit of interpleader relief. Hudson also fails to provide standard fee motion details, such as a description of the specific work performed in relation to pursuing interpleader relief, the hours spent performing the work, and billing rates of the attorneys who performed the work. While a trial court has broad discretion to use its experience in judging the value of professional services rendered, some description of the work performed is necessary to exercise that discretion reasonably. Here, Hudson fails to clearly limit the scope of its request to allowable fees incurred in pursuing interpleader relief and fails substantiate amount of the requested award with details regarding work performed.

Accordingly, Hudson's request for attorney's fees is DENIED. However, if Hudson timely notices its contest of this tentative ruling and indicates (among any other issues it wishes to contest) in its email notice that it would like to provide a supplemental declaration of counsel under penalty of perjury limited to detailing a reasonable number of hours spent pursuing interpleader relief and support for the "fair and reasonable" "rate charged to [its]

insurance company clients", it may file one by September 30, 2026 at noon and the Court will consider awarding the loadstar amount at the hearing where Defendants will be given the opportunity to respond.

Any party who contests a tentative ruling must email Dept11@sanmateocourt.org with a copy to all other parties by 4:00 p.m. Monday, September 28, 2026 stating, without argument, the portion(s) of the tentative ruling that the party contests. **However any contest will be heard on October 5, 2026.**

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for the moving party shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to California Rules of Court, rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the California Rules of Court. Please note that Local Rule 3.403(b)(iv) states in part "prevailing party on a tentative ruling is required to prepare a proposed order REPEATING VERBATIM the tentative ruling" (emphasis added). The order should be e-filed only, do not email or mail a hard copy to the Court.

02:00 PM

24-CLJ-03049 PROVIDENT CREDIT UNION, VS. JEANNIE CHAN
LINE 3

PROVIDENT CREDIT UNION
JEANNIE CHAN

JOHN D. MENDONZA
PRO PER

PLAINTIFF: PROVIDENT CREDIT UNION'S MOTION FOR SUMMARY ADJUDICATION

TENTATIVE RULING:

Plaintiff Provident Credit Union's unopposed Motion for Summary Adjudication, filed Dec. 29, 2025, which seeks summary adjudication of the Complaint's First Cause of Action for "Breach of Loan Agreement (VISA)," is GRANTED. (Code Civ. Proc. § 437c.)

This is an uncontested breach of contract (breach of loan agreement) case. Defendant Jeannie Chan does not dispute that she owes \$15,347.31 under the subject Visa credit card loan agreement. Defendant has filed an Answer admitting that the Complaint's allegations are true, and stating that Defendant asserts no defenses. Defendant merely requested, in her Answer, that she be allowed to make payments pursuant to a payment plan. (See Oct. 4, 2024 Answer.)

With this Motion, Plaintiff met its initial burden of presenting evidence demonstrating that in 2017, Defendant entered into the subject Visa credit card agreement with Plaintiff, thereafter incurred a debt to Plaintiff of \$15,347.31, and has not paid the amount due. (Code Civ. Proc. § 437c(p)(1).) As noted, Defendant then filed an Answer to the Complaint, admitting that all of the Complaint's allegations are true, and that Defendant is not asserting any defense(s). With this Motion, Plaintiff also filed a Separate Statement of Undisputed Material Facts, which cites to supporting evidence showing that Defendant owes \$15,347.31 under the loan agreement, and that per the loan agreement's terms, Plaintiff is entitled to \$3,270 in attorney's fees, plus \$870 in costs, for total breach of contract damages of \$19,487.31, calculated as follows:

\$15,347.31 Amount owed under the loan agreement;
\$3,270 Attorney's fees (see Dec. 29, 2025 Tinga Decl., ¶¶ 3-7; Dec. 29, 2025 "Notice of Lodgment," Ex. F);
\$870 Costs of suit (see Dec. 29, 2025 Tinga Decl., ¶ 8 [Complaint filing fee of \$370 + motion filing fee of \$500]);
for a total of \$19,487.31 owed for breach of the loan agreement.

Plaintiff having met its initial burden under Code Civ. Proc. § 437c(p)(1), the burden then shifted to Defendant to come forward with evidence creating a triable issue of fact as to the First Cause of Action for "Breach of Loan Agreement (VISA), which Defendant has not done. (Code Civ. Proc. § 437c(p)(1).) Defendant has not opposed the motion, and has not disputed any of Plaintiff's Statement of Undisputed Material Facts. (CRC 8.54(c) ["A failure to oppose a motion may be deemed a consent to the granting of the motion."]) Defendant has also admitted that the Complaint's allegations are true, and that Defendant has no defense(s). (See Oct. 4, 2024 Answer.)

Accordingly, Plaintiff's Motion for Summary Adjudication of the Complaint's First Cause of Action for "Breach of Loan Agreement (VISA)" is GRANTED. (Code Civ. Proc. § 437c.) At Plaintiff's request, the Complaint's Second and Third Causes of Action ("account stated" and "money lent") are DISMISSED with prejudice.
